

All looks good on paper, right?

But this strategy has two significant drawbacks:

1. It demands a margin of Rs.120,000 (approx) to initiate the strategy. Further, this margin will be blocked until the expiry or closing of the trade.
2. It has two exposed ends. This strategy bleeds if Nifty starts to trade above 15995 or below 15654.

So, we can add two more legs to implement the same strategy. But now with less margin and without having the exposed ends (limited risk).

This can be done through Iron Condor Strategy.

The Iron Condor Strategy improvises the previous short strangle strategy by closing the exposed ends.

It has three steps:

1. Sell 15900 CE at 37.75 and 15750 PE at 58, collect a premium of 95.75 points
2. Buy 16100 CE at 5.1 to protect the short of 15900 CE
3. Buy 15500 PE at 10.95 to protect the short of 15750 PE

The total premium points collected (by selling 15900 CE & 15750 PE) is 95.75 points.

The total premium points paid (by buying 16100 CE & 15500 PE) is 16.05 points.

Hence, the maximum potential profit is  $95.75 - 16.05 = 79.7$  or Rs.3,985/- (50 QTY x 79.7 points).

As compared to the short strangle strategy, the profit is reduced (but higher ROI). But it also offers two significant advantages: